

SENATE BILL 2673

By Akbari

AN ACT to amend Tennessee Code Annotated, Title 4, Chapter 3, Part 7; Title 9; Title 12 and Title 67, relative to the Automotive Supply Chain Resilience and Expansion Act.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 4, Chapter 3, Part 7, is amended by adding the following as a new section:

(a)

(1) This section is known and may be cited as the "Automotive Supply Chain Resilience and Expansion Act."

(2) The purpose of this section is to provide strategic support to the automotive manufacturing sector in response to disruptions caused by federal tariffs and global trade instability.

(3) As used in this section:

(A) "Department" means the department of economic and community development;

(B) "Eligible entity" means any automotive manufacturer or supplier operating in this state; and

(C) "Tariff-related disruption" means increased costs, reduced revenues, or supply interruptions resulting directly or indirectly from federal tariffs or foreign retaliatory measures.

(b)

(1) There is established the automotive tariff relief fund, to be administered by the department.

(2) The purpose of the fund is to issue grants to eligible entities that demonstrate hardship due to tariff-related disruptions.

(3) Grants may be used for cost mitigation, inventory diversification, workforce retention, or capital investment.

(4) The department shall promulgate rules to create grant application procedures and documentation requirements.

(c)

(1) The department shall provide refundable tax credits and low-interest loans to eligible entities that:

(A) Relocate critical supply operations;

(B) Expand domestic sourcing within this state; or

(C) Invest in technology or equipment that mitigates reliance on tariff-affected imports.

(2) The amount of any credits provided under subdivision (c)(1) must not exceed thirty percent (30%) of qualifying investment expenditures.

(d)

(1) The department shall expand export support services to eligible entities seeking new international markets.

(2) Services may include export financing assistance, trade mission subsidies, foreign regulatory compliance, and market entry consulting.

(3) The department shall prioritize businesses impacted by foreign retaliatory tariffs.

(e)

(1) State procurement agencies may:

(A) Adjust bid scoring to reflect cost increases from tariffs;

(B) Grant temporary preference to domestic suppliers impacted by trade measures; and

(C) Modify contract requirements to allow use of alternative materials.

(2) The department of finance and administration shall promulgate rules to effectuate the purposes of this subsection (e).

(f)

(1) There is created the automotive resilience task force, composed of five (5) members and appointed by the governor. The task force must consist of representatives from industry, labor, academia, and state and local government.

(2) The task force shall:

(A) Monitor federal trade actions and foreign retaliatory measures;

(B) Assess economic impact on the automotive sector; and

(C) Recommend policy responses and industry adaptations.

(3) The task force shall submit a biennial report of its findings and recommendations to the speaker of the senate and the speaker of the house of representatives no later than December 31 of each year the report is due.

SECTION 2. If a provision of this act or its application to a person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 3. This act takes effect July 1, 2026, the public welfare requiring it.